

Time really was our friend, and so long as we remained disciplined and focused, we would have a chance to begin to achieve our goals.

We realized that each day was a fresh opportunity to study a publicly owned business and perhaps reach the conclusion that its shares were worth owning. We knew that we could pull up the annual letters and financial statements of any company in a matter of seconds. It was an exciting idea then (and still is today) that almost every day we could decide to own a small piece of almost any business, in any industry, in any part of the world. So we put some of our own capital together, opened an E*TRADE account, and a year later went around hat in hand to try and gather support from friends and family.

We loved investing from our dorm rooms and love it even more years later. Our original mindset and culture remain part of our value system today. Spruce House is not a hedge fund, but a friends-and-family investment partnership, with only a handful of large institutional partners, and a concentrated portfolio composed of holdings in a group of public and private companies run exclusively by founders. We have no investor relations function or capital raising effort, and we hope to have the same group of partners around the table for decades to come. From the beginning, the idea was to have only a few reliable and long-term oriented partners for whom we could have a material beneficial impact over a very long period of time.

Today, 17 years after we started investing together, we continue to manage the capital entrusted to us as if the two of us would be lifelong partners and the capital were all our own. This is because our sole mission has always been to create an environment that allows us to compound our capital at the highest rate possible, not to build an asset management business.

Over the years we have invested in many different types of businesses, and while we have always had a sharp pencil on price, our most successful investments have all been the result of being right on